

In 1974 he received the Bank of Sweden Prize in Economic Sciences in Memory of Alfred Nobel, but if you read his acceptance speech you will be in for a bit of a surprise. It was eloquently called “The Pretense of Knowledge,” and he mostly railed about other economists and about the idea of the planner. He argued against the use of the tools of hard science in the social ones, and depressingly, right before the big boom for these methods in economics. Subsequently, the prevalent use of complicated equations made the environment for true empirical thinkers worse than it was before Hayek wrote his speech. Every year a paper or a book appears, bemoaning the fate of economics and complaining about its attempts to ape physics. The latest I’ve seen is about how economists should shoot for the role of lowly philosophers rather than that of high priests. Yet, in one ear and out the other.

For Hayek, a true forecast is done organically by a system, not by fiat. One single institution, say, the central planner, cannot *aggregate* knowledge; many important pieces of information will be missing. But society as a whole will be able to integrate into its functioning these multiple pieces of information. Society as a whole thinks outside the box. Hayek attacked socialism and managed economies as a product of what I have called *nerd knowledge, or Platonicity*—owing to the growth of scientific knowledge, we overestimate our ability to understand the subtle changes that constitute the world, and what weight needs to be imparted to each such change. He aptly called this “scientism.”

This disease is severely ingrained in our institutions. It is why I fear governments and large corporations—it is hard to distinguish between them. Governments make forecasts; companies produce projections; every year various forecasters project the level of mortgage rates and the stock market at the end of the following year. Corporations survive not because they have made good forecasts, but because, like the CEOs visiting Wharton I mentioned earlier, they may have been the lucky ones. And, like a restaurant owner, they may be hurting themselves, not us—perhaps helping us and subsidizing our consumption by giving us goods in the process, like cheap telephone calls to the rest of the world funded by the overinvestment during the dotcom era. We consumers can let them forecast all they want if that’s what is necessary for them to get into business. Let them go hang themselves if they wish.

As a matter of fact, as I mentioned in [Chapter 8](#), we New Yorkers are all benefiting from the quixotic overconfidence of corporations and restaurant entrepreneurs. This is the benefit of capitalism that people discuss the least.

But corporations can go bust as often as they like, thus subsidizing us consumers by transferring their wealth into our pockets—the more bankruptcies, the better it is for us—unless they are “too big to fail” and